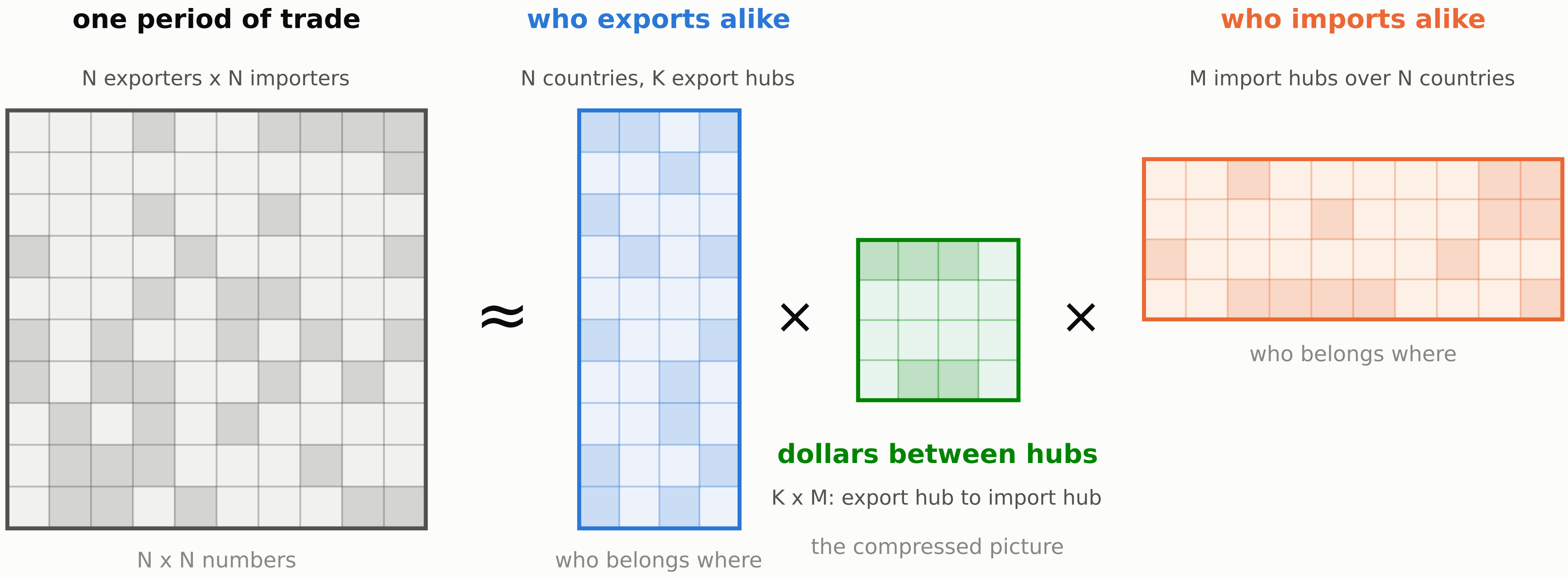
How the factor model summarizes the trade data



One period of country-to-country flows is compressed into: hubs of exporters that move together, hubs of importers, and a small table of dollars between the hubs. Estimated on a single year the hub memberships are fixed (Section 2); estimated on a rolling window they can move, and a shift in them is what the model reports as a structural break (Section 3).